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MEMBERSHIP DUES INVOICE

To: Mr. Martin L. Orlowsky
President & Chief Operating Officer
Lorillard Tobacco Company
714 Green Valley Road
Greensboro, NC 27408

Invoice Date: 12/31/98
Invoice No: 123198-24

Period Covering: 3/1/99 through 2/29/00

BASIS FOR DETERMINING DUES

ANA dues are based on the combined total of all U.S. **Advertising Expenditures** by the Member Company including the parent company and all eligible subsidiaries and divisions – for the most recent calendar year preceding the ANA membership anniversary date of the Member Company.

The term **U.S. Advertising Expenditures** includes: all U.S. expenditures for advertising in any and all media whether national, regional, or local; all U.S. advertising production costs (personnel including talent, services and material); all U.S. advertising commissions and fees; and the Member's share of all expenditures within the U.S. for cooperative advertising programs. It includes such monies expended directly by the Member, as well as those by other firms or entities by arrangement with the Member that promote the Member's name, products, services, brands, or other subjects of trade (e.g. expenditures by franchisees, licensees, distributors, dealers, or other agencies).

The term **Media** includes: newspapers; periodicals; yellow pages; radio; television or other electronic systems; class and technical journals; business, farm and religious papers; car cards; posters and out-of-home advertising.

Billing for Members' dues shall be based on the best published data available to ANA for such expenses. If a Member's actual expenses are substantially lower than those reflected in the ANA invoice, the Member shall have the option to supply the Association with an amount for its total expenses certified by its Chief Financial Officer, and to remit its dues based upon such certified amount.

Dues are based on estimated advertising expenditures of \$28,000,000 for the most recent calendar year.

2 Affiliate Memberships @\$500 each: \$1,000.00

AMOUNT DUE: \$16,330.00

Please make check payable to the *Association of National Advertisers, Inc.* and mail to the above address.

In accordance with the ANA By Laws, dues are payable in advance for the ensuing year on the anniversary date of the company's election to membership.

The Internal Revenue requires notice on invoices for Trade Association Dues: "Payments to the Association of National Advertisers, Inc. are not deductible as charitable contributions for Federal income tax purposes. However, this does not affect their deductibility under other IRS code provisions."

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IMPORTANT INFORMATION REGARDING ANA DUES

The enclosed invoice is for your Company's ANA allocated share of membership dues. It is based on an estimate of the combined total of all U.S. advertising expenditures for your organization for the past year, and includes the parent company and all subsidiaries and divisions eligible for membership under the Association's By-laws.

"Advertising expenditures" include all sums spent for product, service and institutional advertising in media and services relating thereto as well as production costs, research surveys and cooperative advertising. (A more complete definition is outlined on your invoice.)

If this invoice is substantially correct, i.e., if it corresponds with your records of actual expenditures, please remit the amount specified. Should there be a disparity between your records and the invoiced amount, you have the option to supply the Association with an amount for your total expenses, certified by your Chief Financial Officer, and to remit your dues based upon that amount.

Contributions or gifts to ANA are not tax deductible as charitable contributions for income tax purposes. However, they may be tax deductible as ordinary and necessary business expenses, subject to restrictions imposed as a result of Association lobbying activities. Due to provisions of the Omnibus Budget Reconciliation Act of 1993 (Public Law #103-66), lobbying expenditures (and dues allocable to those expenditures) are no longer deductible as ordinary and necessary business expenses. ANA estimates that the nondeductible portion of your 1999 dues -- the portion which is allocable to lobbying expenditures -- is 16.0%.

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